FROM THE

EDITOR-IN-CHIEF

It added up to more than Pakistan's cyclical political crises. Scenes of utter chaos played out on the streets of Islamabad, Karachi, Peshawar and especially Lahore's Zaman Park neighbourhood—home to Imran Khan, former prime minister, charismatic ex-cricket captain and present insurrectionist-in-chief. The federal government, headed by Khan's archrival Shehbaz Sharif, even sent in elite Rangers to arrest him on criminal charges. Such volcanic disruptions are not new for Pakistan. They are symptomatic of the fundamental political dichotomy at the core of this flawed democracy: an army that holds the real power versus a series of popular leaders who rule with their indulgence. Inevitably, when they aspire for real power, they get burnt. But with the economy in dire straits—and the possibility of it tanking the way Sri Lanka's did last year—a confluence of disasters is pushing the country closer to the brink.

India observes the drama from a curious vantage point. There was a time when New Delhi chafed at the 'hyphenation' of India-Pakistan: the feeling that other nations regarded us as a package deal with our fractious neighbour. We have shared history, but it was wearying to be treated like our fortunes were somehow married decades after our bitter divorce. It was felt to be a belittling comparison. But we often forget how *big* Pakistan is: it's the fifth largest in the world by population, at 235 million people, and was 24th in ranking last June in terms of nominal GDP, at $383 billion. Today, things are at a critical pass as Islamabad waits, on its knees, for some sign of that promised tranche of $1.1 billion from the International Monetary Fund (IMF), part of a $6.5 billion bailout package approved in 2019. It needs that desperately to stave off recession and external debt default. If an economic collapse occurs alongside a detonation of its power structure, the geopolitical repercussions can easily wash up on our shores. After all, who wants to see a nuclear state in meltdown?



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Pakistan's polycrisis is a perfect storm. With inflation riding at well over 30 per cent, it's the poorest who suffer the most. Food inflation now tops 40 per cent; even a month ago, onion prices had soared by 500 per cent and essential foodgrains and pulses were 50 per cent costlier. The macro-economy, too, is in freefall as exports collapsed, and forex reserves plummeted from $27 billion in August 2021 to a perilous $3.1 billion this January, just enough for three weeks worth of imports instead of the mandatory three months. They have improved since, but still remain below comfort level. The Pakistani rupee's value hit nearly 300 to the dollar, as compared to 177 in March last year. Our cover story, written by noted Pakistani journalist Hasan Zaidi, a frequent contributor to these pages, examines the tangled web of economic mismanagement and political opportunism that has brought the country to this new precipice. There are 'legacy issues', he points out—going back to Imran's moves to stave off threats to his government in early 2022 by ignoring the advice of international creditors and freezing fuel prices, a move that led to the suspension of the IMF funds Pakistan desperately needed. When Imran was ousted after a no-confidence vote in April 2022, the new government led by his bitter opponent Shehbaz, brother of former PM Nawaz Sharif, vacillated for a month before bringing fuel prices in line with international rates. Despite later conciliatory noises, the damage had been done and IMF support continues to hang in the balance. Meanwhile, Pakistan's reliance on long-term patron China and traditional sponsors Saudi Arabia and the UAE has not paid off as these hitherto generous creditors have made the resumption of IMF programmes a precondition for extending financial support. As Pakistani economist Asad Sayeed says in our story, the country finds itself suddenly unable to extract the 'geopolitical rent' it once relied on to shore up its economy.

Finance minister Ishaq Dar, who once boasted that he knew the IMF more than anyone else in Pakistan, didn't exactly help boost confidence when he said Pakistan was "*Allah ke jimme* (the responsibility of its Creator)". No wonder Imran sniffs a chance to profit from the public discontent brought on by economic chaos, although he was the cause of some of it. In recent months, his party PTI has scored handsomely in several byelections, including in Punjab, traditionally the stronghold of the Sharifs' PML(N). He has also attacked Pakistan's powerful army, his erstwhile benefactor, accusing the top brass of being behind his ouster. Under its new chief Gen. Syed Asim Munir, the army has so far remained neutral as there is no easy solution to either the political or the economic crisis. The intriguing cat-and-mouse game between Imran and those out to arrest him on a whole roster of 80-odd charges (the misappropriation of official gifts in the 'Toshakhana' and alleged threats to a judge chief among them) is but a replay of what has happened many times before. The army similarly went after his predecessor Nawaz Sharif when he challenged their authority. Imran, their trump card then, now finds himself hoist on his own petard.

But like the old world-conquering cricket captain, he still doesn't know how to give up and is daring to dare the most significant power of Pakistan. The pending elections to the Punjab and Khyber Pakhtunkhwa assemblies are the fast bowlers he has up his sleeve: he's insisting on polls as per schedule, as a semi-final to the general election due in October. If Imran wins handsomely in Punjab, it will put him in pole position to win the parliamentary polls, as the province contributes close to 50 per cent of its seats. On a less perilous pitch, that may have played out as pure political theatre, but with the skies overcast on account of the economy and visibility zero due to the dust on the street, all bets seem off. We can only hope that Pakistan's politicians and international allies help the country find its way back to the path of political and economic equilibrium. An unstable and bankrupt Pakistan is not good for India.

(Aroon Purie)